

Wealth Strategy Snapshot: Educational Analysis

2026 Tax Year Planning

Prepared for Chad & Sara Hunsaker | January 2026

Educational scenario modeling for discussion with licensed professionals

Executive Summary

This analysis explores tax optimization strategies and investment concepts for the 2026 tax year, tailored to your financial profile. Based on your combined household income (~\$700K), existing retirement contributions, real estate interest, and goal to create passive income streams to replace W-2 bonus income, this snapshot models potential first-year value ranging from **\$174,900** (conservative scenario) to **\$423,395** (aggressive scenario including real estate acquisition).

Key opportunities identified include maximizing Sara's self-employment retirement contributions through a Solo 401(k), evaluating S-Corporation election for FICA savings, exploring the Augusta Rule for tax-free rental income, and structuring investment capital across Bitcoin, income-generating assets, and potentially short-term rental real estate. Implementation of any strategy should be verified with your CPA and licensed financial advisor.

CONSERVATIVE SCENARIO

\$174,900

AGGRESSIVE SCENARIO

\$423,395

Profile Summary: Current Financial Position

Category	Details
Household	Married Filing Jointly 2 dependents (including adult children) Spring Lake, UT
Ages	Chad: 47 No catch-up contributions until age 50
W-2 Income (Chad)	\$400,000 - \$499,000 March bonus anticipated: ~\$200,000
Self-Employment Income (Sara)	\$200,000 - \$299,000 Amazon Influencer + MLM
Combined Household Income	~\$700,000 Marginal Rate: ~40% (35% Federal + 4.65% UT)
Current Retirement Strategy	W-2 401(k): Maxing \$24,500 (2026) HSA: Maxing \$8,750 family
Business Entity Status	No entity yet Interested in LLC formation
Credit Score	760+ Strong borrowing position
Home Equity	\$600,000 value \$100,000+ equity Dedicated home office
Existing Real Estate	1 long-term rental (detached garage apartment on primary property, in living trust)
Liquid Capital	Current: <\$25,000 Incoming: ~\$200K bonus + ~\$35K refund
Comfortable Deploying	\$100,000+ for wealth-building strategies
Bitcoin Position	Small position (under 1%) Interested in expanding
Investment Approach	Moderately aggressive Growth-focused, accept volatility
Time Available	10-15 hours/week for wealth-building activities

Stated Goals

1	Create passive income to replace W-2 bonus income (anticipating market stress reduction)
2	Start profitable side business via Airbnb arbitrage; secure 1 STR via purchase + 1 via arbitrage by end of 2026
3	Reduce tax burden beyond current charitable giving strategy
4	Stop working full-time by age 62 (15 years)
5	Build generational wealth; fund children's/grandchildren's education and retirement
6	Expand Bitcoin/crypto position as core wealth accumulation vehicle

Timeline Awareness & Implementation Considerations (2026 Planning)

These timeline items are provided for calendar awareness. Verify applicability and timing with your tax professional.

Week 1 (Jan 27 - Feb 2)

- CPA consultation: Entity structure options for Sara's businesses
- Discuss 2025 IRA contributions before April filing
- Review arbitrage vs. purchase strategy for STR

Week 2 (Feb 3 - Feb 9)

- LLC formation decision: Separate for RE vs. Amazon/MLM?
- Augusta Rule documentation setup
- Research STR markets in Utah area

Week 3 (Feb 10 - Feb 16)

- Solo 401(k) provider research (Fidelity, Schwab, Vanguard)
- S-Corp election timeline (Form 2553) - discuss with CPA
- Obtain cost segregation study quotes if purchasing

Week 4 (Feb 17 - Feb 23)

- W-4 adjustment consideration before March bonus
- Investment account setup for capital deployment
- Professional team coordination meeting

⚠️ Key 2026 Deadlines to Note

Deadline	Item	Notes
March 15, 2026	S-Corp Election (Form 2553)	For 2026 tax year; or within 75 days of formation
April 15, 2026	2025 IRA/Roth IRA contributions	Last day for prior-year contributions
April 15, 2026	2025 HSA contributions	Last day for prior-year contributions
December 31, 2026	Solo 401(k) establishment	Required for 2026 employee deferrals
December 31, 2026	401(k) employee contributions	2026 deferrals must be made by year-end

2025 Tax Year: Remaining Opportunities (Before April 15, 2026)

2025 Strategies Still Available

The following 2025 contributions can still be made until April 15, 2026:

Strategy	2025 Limit	Deadline	Your Opportunity
Traditional/Roth IRA	\$7,000 (+ \$1,000 if 50+)	April 15, 2026	\$14,000 (both spouses × \$7,000)
HSA Contributions	\$8,550 family / \$4,300 individual (+ \$1,000 if 55+)	April 15, 2026	Already maxing ✓
Solo 401(k) Employer Portion	25% of net SE income	Tax filing + extensions	If plan existed in 2025 - verify with CPA
SEP IRA	25% up to \$69,000	Tax filing + extensions	Alternative if no Solo 401(k) existed

No Longer Available for 2025: 401(k) employee deferrals (December 31 deadline passed), W-4 adjustments (only affect 2026 forward), Augusta Rule rentals (must have occurred in 2025), Solo 401(k) employee contributions (December 31 deadline passed).

Verify 2025 contribution eligibility with your CPA. Making prior-year contributions requires careful coordination with your tax return.

2026 Tax Optimization Strategies to Explore

The following strategies are presented for educational purposes. Eligibility and implementation must be verified with your CPA. All calculations use 2026 IRS limits.

Strategy Concept: Solo 401(k) for Self-Employment Income

Potential Tax Savings: \$28,800

What It Is: A retirement plan for self-employed individuals allowing both employee and employer contributions. At Sara's self-employment income level (~\$250K) and 40% marginal rate, maximizing the 2026 contribution of \$72,000 models potential tax savings of \$28,800 ($\$72,000 \times 40\%$).

How It Works:

1. Employee contribution: Up to \$24,500 (2026 limit) - must be made by December 31, 2026
2. Employer contribution: Up to 25% of net self-employment income - can extend to tax filing deadline
3. Total limit: \$72,000 for 2026 (no catch-up until age 50)

Eligibility Criteria: Self-employment income, no full-time W-2 employees other than spouse, plan established by December 31, 2026 for employee contributions.

Verify contribution limits and plan establishment requirements with your CPA. 2026 limits shown. Custodian options include Fidelity, Schwab, and Vanguard (no-fee plans available).

Strategy Concept: S-Corporation Election (Sara's Businesses)

Potential FICA Savings: \$15,000 - \$20,000

What It Is: Electing S-Corp status for Sara's self-employment income can reduce self-employment taxes by splitting income between "reasonable salary" (subject to FICA) and distributions (not subject to FICA). At \$250K SE income, paying \$100K salary saves FICA on \$150K of distributions.

How It Works:

1. Form LLC and file Form 2553 with IRS for S-Corp election (by March 15 for current year)
2. Pay "reasonable salary" through payroll (typically 30-50% of profits for service businesses)
3. Remaining profits distributed as shareholder distributions - not subject to 15.3% FICA

Eligibility Criteria: Active trade or business, reasonable compensation determination, proper payroll setup and compliance.

S-Corp election involves ongoing compliance requirements (payroll, quarterly filings). Discuss cost-benefit analysis with your CPA, including additional accounting costs.

Strategy Concept: Augusta Rule (Section 280A)

Potential Tax-Free Income: \$7,000 - \$10,000

What It Is: IRC Section 280A allows homeowners to rent their home to their business for up to 14 days per year without reporting rental income, while the business deducts the rent. At fair market rates of \$500-\$700/day for legitimate business use, this models \$7,000-\$9,800 in tax-free income plus business deductions.

How It Works:

1. Document fair market rental rate (obtain comparable rental quotes)
2. Hold legitimate business meetings/events at your residence (board meetings, planning sessions, team gatherings)
3. Execute rental agreement between business and personal entities; business pays rent and deducts

Eligibility Criteria: Active business, bona fide business purpose for meetings, documented fair market value, proper agreements in place.

Requires proper documentation including rental agreements, meeting minutes, and fair market value substantiation. Discuss implementation with your CPA.

Strategy Concept: Backdoor Roth IRA Contributions

Wealth Positioned: \$15,000 (both spouses)

What It Is: High-income earners who exceed Roth IRA income limits can still contribute via the "backdoor" method: contribute to a Traditional IRA (non-deductible), then convert to Roth. For 2026, each spouse can contribute \$7,500, positioning \$15,000 in tax-free growth accounts.

How It Works:

1. Contribute \$7,500 to Traditional IRA (non-deductible) for each spouse
2. Convert Traditional IRA balance to Roth IRA (ideally same tax year)
3. Ensure no existing Traditional IRA balances to avoid pro-rata taxation

Eligibility Criteria: Earned income, no existing Traditional IRA balances (or willingness to convert/roll into employer plan), proper execution timing.

Pro-rata rule applies if you have existing Traditional IRA balances. Chad's existing 401(k) can accept IRA rollovers to clear the path. Verify execution with your CPA. 2026 limit: \$7,500 per person.

Strategy Concept: Home Office Deduction

Potential Tax Savings: \$400 - \$800

What It Is: Dedicated home office space used exclusively for business qualifies for deduction. The simplified method allows \$5/sq ft up to 300 sq ft (\$1,500 max). Alternatively, actual expense method calculates percentage of home expenses based on office square footage.

How It Works:

1. Measure dedicated office space (must be used exclusively for business)
2. Calculate using simplified method (\$5/sq ft × sq ft) or actual expense percentage
3. Deduct on Schedule C (Sara's self-employment) or allocate to S-Corp if elected

Eligibility Criteria: Regular and exclusive business use, principal place of business or meeting clients. You indicated: "Yes - dedicated room used exclusively for business."

Document with photos, measurements, and usage log. Actual expense method may yield higher deduction but requires detailed records. Verify calculation method with your CPA.

Strategy Concept: LLC Formation & Structure

Value: Liability Protection + Tax Flexibility

What It Is: Forming LLCs provides liability protection and tax flexibility. Common structure: separate LLCs for different business activities (Amazon/MLM vs. Real Estate) to isolate liability and allow different tax treatments.

How It Works:

1. Form LLC for Sara's Amazon Influencer/MLM businesses (consider S-Corp election)
2. Form separate LLC for real estate holdings/activities
3. Evaluate existing rental (currently in living trust) - discuss liability implications with attorney

Questions to Discuss with Attorney:

- Should rental in living trust be moved to LLC structure?
- Holding company structure vs. separate LLCs for each property?
- Utah-specific LLC formation and annual requirements

Entity structure decisions have legal and tax implications. Consult with both attorney (liability protection) and CPA (tax treatment) before forming entities.

Primary Strategy Education: Short-Term Rental + Cost Segregation

Based on your stated goal to "start a profitable side business via Airbnb arbitrage including securing 1 STR via purchase" and interest in real estate investing.

Strategy Concept: STR Acquisition + Cost Segregation Study

Potential First-Year Tax Benefit: \$40,000 - \$64,000 (if property acquired)

What It Is:

Acquiring a short-term rental property and performing a cost segregation study allows accelerated depreciation of property components. For a \$350,000-\$400,000 property, cost segregation can identify 35-50% of the property value as shorter-lived assets eligible for bonus depreciation, creating substantial first-year paper losses.

The Math (Illustrative):

Component	Conservative	Aggressive
Property Value	\$350,000	\$400,000
Cost Seg Percentage (land excluded)	35%	50%
Accelerated Depreciation	~\$100,000	~\$160,000
Tax Benefit (× 40% rate)	\$40,000	\$64,000

STR Average-Stay Exception:

Short-term rentals with average guest stays of 7 days or less are NOT considered "rental activities" under passive loss rules if the owner materially participates in management. This allows losses to offset active/ordinary income without requiring Real Estate Professional (REP) status. With 10-15 hours/week available, material participation standards are achievable.

Implementation Considerations:

1. Property acquisition: Target STR-friendly markets; evaluate purchase vs. arbitrage for first property
2. Cost segregation study: Engage qualified engineering firm (\$3,000-\$5,000 typical cost)
3. Material participation: Document hours spent on management activities (500+ hours or majority of all management)
4. Timing: Property must be placed in service during 2026 for 2026 tax benefits

Arbitrage Alternative:

Your stated interest includes arbitrage (lease + furnish). While arbitrage doesn't provide depreciation benefits, it requires lower capital (\$5,000-\$15,000 per unit) and can generate cash flow more quickly. Consider: one purchase for tax benefits + one arbitrage for cash flow diversification.

Real estate tax strategies have specific documentation and participation requirements. Cost segregation requires qualified engineering study. Material participation must be documented contemporaneously. Work with a qualified tax professional to ensure compliance.

Additional Strategy: Hiring Children in Business

You mentioned interest in "business structures to pay our children for work they do in the business and fund IRAs for them early."

How It Works: Children under 18 employed by a parent's sole proprietorship or single-member LLC (taxed as disregarded entity) are exempt from FICA taxes. Wages paid are deductible by the business and can fund the child's Roth IRA (up to earned income or \$7,500, whichever is less for 2026).

Requirements: Legitimate work at reasonable wages, documented time and tasks, age-appropriate duties. Your 4-year-old can perform limited tasks; older children can do more substantial work.

Employment of children requires proper documentation and reasonable compensation. Discuss implementation with your CPA, especially if forming S-Corp (FICA exemption doesn't apply to S-Corps).

529 Plans for Children & Grandchildren

You expressed interest in "529 Plan for children and grandchildren."

Utah 529 Benefits: Utah offers a 4.65% state income tax credit on contributions (up to certain limits). Earnings grow tax-free and withdrawals for qualified education expenses are tax-free.

2026 Considerations: Annual gift tax exclusion is \$19,000 per recipient (\$38,000 if gift-splitting with spouse). 529 plans allow 5-year gift tax averaging for larger contributions.

529 contribution limits and state tax benefits vary. Verify Utah-specific benefits and contribution limits with your financial advisor.

Illustrative Portfolio Scenario

This scenario models one approach based on the moderately aggressive profile and passive-income-focused goals indicated. This is educational illustration, not a recommendation.

Profile Analysis for Scenario Construction

Factor	Your Response	Scenario Implication
Investment Approach (Q41)	Moderately aggressive	50-70% Bitcoin allocation baseline
Goals (Q46)	Passive income to replace bonus	Include STRC for yield component
Time Available (Q44)	10-15 hours/week	Can balance active RE with passive investments
Capital (Q45)	\$100K+ comfortable deploying	Diversified approach viable
Bitcoin Interest	Small position, wants to expand	Core allocation to Bitcoin

Illustrative Investment Allocation

Asset Class	Scenario %	Conservative (\$100K)	Aggressive (\$175K)	Educational Rationale
Bitcoin	50%	\$50,000	\$87,500	Core wealth accumulation vehicle - fixed 21M supply, increasing institutional adoption
STRC	30%	\$30,000	\$52,500	Bitcoin-correlated income (10-12% yield) for passive cash flow goal
VTI/VOO	20%	\$20,000	\$35,000	Broad U.S. equity exposure - low-cost diversification (0.03% expense ratio)

Note on This Scenario: This allocation models a 50/30/20 approach emphasizing growth (Bitcoin) with income generation (STRC) and traditional equity diversification (VTI/VOO). The moderately aggressive profile and goal to "build generational wealth" and "expand Bitcoin position" informed this scenario construction.

Specific investment decisions should be made in consultation with a licensed financial advisor who understands your complete situation, risk tolerance, and time horizon.

Product Education

Asset	Description	Risk Considerations
Bitcoin	Digital asset with fixed 21 million supply. Serves as wealth accumulation vehicle due to scarcity and adoption trajectory.	Highly volatile; can experience 50%+ drawdowns. Long-term holding period typically recommended.

STRC	Commonly used by investors seeking passive income with Bitcoin correlation, providing approximately 10-12% annual yield.	Yield not guaranteed; verify current rates. Bitcoin correlation means exposure to crypto volatility.
VTI	Vanguard Total Stock Market ETF - provides exposure to entire U.S. stock market (~4,000 stocks) at 0.03% expense ratio.	Market risk; historically ~10% long-term returns with periodic 20-40% drawdowns.
VOO	Vanguard S&P 500 ETF - tracks 500 largest U.S. companies at 0.03% expense ratio.	Concentrated in large-cap; similar risk profile to VTI with slightly less diversification.

Investment scenarios are for educational illustration. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile and speculative. Past performance does not guarantee future results. Verify current STRC yield at time of any investment. Consult with a licensed financial advisor before making investment decisions.

Modeled First-Year Value Summary (2026 Tax Year)

Capital basis: Conservative uses \$100,000 (comfortable deployment amount); Aggressive uses \$175,000 (anticipated bonus + refund).
Real estate included in aggressive scenario based on stated goals.

Category	Item	Conservative	Aggressive	Notes
CATEGORY A: TAX OPTIMIZATION STRATEGIES				
Tax	Solo 401(k) Tax Savings (Sara)	\$28,800	\$28,800	\$72,000 × 40% marginal rate
Tax	S-Corp FICA Savings	\$15,000	\$20,000	~\$100K-130K in distributions × 15.3%
Tax	Augusta Rule Tax Benefit	\$2,800	\$3,920	14 days × \$500-700/day × 40%
Tax	Home Office Deduction	\$400	\$600	Dedicated room; method TBD
Tax	STR + Cost Segregation	\$0	\$52,000	If property acquired; ~\$130K depreciation × 40%
	Tax Optimization Subtotal	\$47,000	\$105,320	
CATEGORY B: INVESTMENT INCOME (Yield/Dividends)				
Income	STRC Yield (10-12%)	\$3,000	\$6,300	\$30K × 10% / \$52.5K × 12%
Income	ETF Dividends (1.5-2%)	\$300	\$700	\$20K × 1.5% / \$35K × 2%
	Investment Income Subtotal	\$3,300	\$7,000	
CATEGORY C: INVESTMENT APPRECIATION (Projected Growth)				
Growth	Bitcoin Appreciation (25-50%)	\$12,500	\$43,750	\$50K × 25% / \$87.5K × 50%
Growth	STRC Appreciation (15-30%)	\$4,500	\$15,750	\$30K × 15% / \$52.5K × 30%
Growth	VTI/VOO Appreciation (8-12%)	\$1,600	\$4,200	\$20K × 8% / \$35K × 12%
	Appreciation Subtotal	\$18,600	\$63,700	

Category	Item	Conservative	Aggressive	Notes
CATEGORY D: REAL ESTATE (Aggressive Only - Based on Stated Goals)				
RE	STR Annual Cash Flow (NOI)	\$0	\$30,000	After expenses; market dependent
RE	Property Appreciation (4.5%)	\$0	\$16,875	$\$375,000 \times 4.5\%$
RE	Mortgage Principal Paydown (Yr 1)	\$0	\$4,500	Equity build through amortization
	Real Estate Subtotal	\$0	\$51,375	Conservative = no RE acquisition
CATEGORY E: CASH FLOW IMPROVEMENTS				
Cash Flow	W-4 Optimization	\$12,000	\$24,000	Reduce over-withholding; \$1K-2K/mo
	Cash Flow Subtotal	\$12,000	\$24,000	
CATEGORY F: WEALTH BUILDING (Dollars Positioned)				
Wealth	Solo 401(k) Contributions (Sara)	\$72,000	\$72,000	2026 max; no catch-up (age 47)
Wealth	Backdoor Roth IRA (Both Spouses)	\$15,000	\$15,000	$\$7,500 \times 2$ (2026 limit)
Wealth	Augusta Rule Income Received	\$7,000	\$10,000	Tax-free under 14-day rule
Wealth	RE Equity Position (Down Payment)	\$0	\$75,000	20% down on \$375K property
	Wealth Building Subtotal	\$94,000	\$172,000	
TOTAL FIRST-YEAR VALUE (2026)		\$174,900	\$423,395	

Important Disclaimer: Projected values are illustrative estimates for the 2026 tax year based on assumptions stated. Investment appreciation is based on historical performance and is not guaranteed—past performance does not guarantee future results. All investments carry risk including potential loss of principal. Bitcoin and cryptocurrency are highly volatile. Real estate projections depend on market conditions, occupancy, and expenses. Tax savings shown use 2026 IRS limits; verify with your CPA. Consult with your licensed professionals before implementation.

Totals Verification

Category	Conservative	Aggressive
A: Tax Optimization	\$47,000	\$105,320
B: Investment Income	\$3,300	\$7,000
C: Investment Appreciation	\$18,600	\$63,700
D: Real Estate	\$0	\$51,375
E: Cash Flow	\$12,000	\$24,000
F: Wealth Building	\$94,000	\$172,000
GRAND TOTAL	\$174,900	\$423,395

Calendar Awareness & Key Dates (2026)

Date	Item	Notes
January 2026	Begin W-4 optimization discussions	Before March bonus to adjust withholding
March 15, 2026	S-Corp election deadline (Form 2553)	For 2026 tax year if LLC formed
April 15, 2026	2025 IRA contribution deadline	$\$7,000 \times 2 = \$14,000$ potential
April 15, 2026	2025 HSA contribution deadline	Verify if additional capacity exists
Q2-Q3 2026	STR property search/acquisition window	Allow time for cost seg study before year-end
October 15, 2026	Extended 2025 tax filing deadline	SEP/Solo 401(k) employer contribution deadline
December 31, 2026	Solo 401(k) establishment deadline	For 2026 employee contributions
December 31, 2026	2026 401(k) employee contribution deadline	Chad's W-2 401(k) + Sara's Solo 401(k)
December 31, 2026	Property must be "placed in service"	For 2026 depreciation/cost seg benefits
April 15, 2027	2026 IRA/HSA contribution deadline	Plan for Backdoor Roth execution

Verify all deadlines with your tax professional. Some deadlines extend with tax filing extensions.

Questions for Your Professional Team

Questions for Your CPA

1	Based on Sara's self-employment income, what is her maximum Solo 401(k) contribution for 2026?
2	Should Sara elect S-Corp status? What are the cost-benefit and compliance considerations?
3	What documentation do we need for the Augusta Rule to withstand IRS scrutiny?
4	Can we still make 2025 IRA contributions before April 15? Any existing Traditional IRA balances that would trigger pro-rata?
5	If we acquire an STR, what material participation documentation is required?
6	How should we structure paying our children for work in the business?
7	What W-4 adjustments would optimize Chad's withholding for the March bonus?

Questions for Your Attorney

1	Should we form separate LLCs for Sara's businesses vs. real estate activities?
2	Should the existing rental (in living trust) be moved to an LLC structure?
3	What liability protection structure is appropriate for STR ownership/arbitrage?
4	How should our estate plan be updated to reflect new business entities?

Questions for Your Financial Advisor

1	How does the modeled 50/30/20 allocation scenario align with our overall financial plan?
2	What is the appropriate Bitcoin allocation given our 15-year timeline to age 62?
3	How should we coordinate investment purchases with the incoming bonus/refund?
4	What 529 contribution strategy optimizes Utah state tax benefits?

Professional Team Coordination

Professional	Role in Implementation	Your Status
CPA / Tax Professional	Verify tax strategy eligibility, calculate optimal contributions, prepare returns, advise on entity elections	Currently filing own returns - consider engaging CPA given complexity
Financial Advisor / Wealth Manager	Investment implementation, portfolio construction, retirement projections, ongoing management	Have relationship ✓
Attorney / Estate Planner	Entity formation, operating agreements, estate plan updates, asset protection	Have relationship ✓
Business Coach / Consultant	Business strategy, STR operations, scaling guidance	Have relationship ✓
Cost Segregation Engineer	Engineering-based study for accelerated depreciation (if acquiring RE)	Engage when property identified
STR Property Manager / Consultant	Market analysis, operations setup, arbitrage deal sourcing	Engage when entering STR market

CPA Consideration

You indicated "No - I file myself." Given your income level (~\$700K), multiple income sources, real estate goals, and potential entity structures, engaging a CPA who specializes in real estate and self-employment taxation may provide significant value. The strategies outlined in this snapshot require professional verification and implementation support.

Quarterly Review Milestones (2026)

Quarter	Review Focus	Key Considerations
Q1 (Jan-Mar)	Foundation & Setup	Entity formation decisions, 2025 cleanup contributions, W-4 optimization before bonus, professional team engagement
Q2 (Apr-Jun)	Implementation & RE Search	Solo 401(k) establishment, STR market research, arbitrage opportunity evaluation, capital deployment initiation
Q3 (Jul-Sep)	Mid-Year Check	Contribution pacing, RE acquisition progress, Augusta Rule documentation, investment performance review
Q4 (Oct-Dec)	Year-End Optimization	Max out retirement contributions, finalize RE before Dec 31, cost seg study completion, tax projection with CPA

These milestones are provided for planning awareness. Actual timing should be coordinated with your professional team based on your specific circumstances.

Educational Resources & Reference

2026 Contribution Limits Reference

Account Type	Base Limit	Catch-Up (50+)	Super Catch-Up (60-63)
401(k) Employee Deferral	\$24,500	+\$8,000	+\$11,250
401(k) Total (Employee + Employer)	\$72,000	+\$8,000	+\$11,250
HSA (Family Coverage)	\$8,750	+\$1,000 (55+)	N/A
HSA (Individual Coverage)	\$4,400	+\$1,000 (55+)	N/A
Traditional/Roth IRA	\$7,500	+\$1,100	N/A
Business Mileage Rate	72.5¢ per mile		

⚠ SECURE 2.0 Roth Catch-Up Requirement

Starting in 2026, if you earned **\$150,000+ in FICA wages** in the prior year from the same employer, your catch-up contributions **must be made as Roth** (not pre-tax). This will apply to Chad when he reaches age 50. Current age (47) means this is not yet applicable but should be planned for.

IRS Publications for Reference

Publication 560	Retirement Plans for Small Business
Publication 969	Health Savings Accounts
Publication 587	Business Use of Your Home
Publication 527	Residential Rental Property
Publication 946	How to Depreciate Property

For educational reference only. Verify current IRS guidance at IRS.gov or with your tax professional.

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Not Legal Advice: Entity structure, asset protection, and partnership discussions are educational. Consult a qualified attorney for legal guidance specific to your situation.

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Tax Law Changes: Tax laws change regularly. Information presented reflects understanding as of January 2026 using 2026 IRS limits. Verify current rules with your tax professional.

Professional Consultation Required: Before implementing any strategy discussed in this document, consult with qualified licensed professionals including a CPA, attorney, and/or registered investment adviser who understand your complete financial situation.

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